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OECD FDI Regulatory Restrictiveness Index 2025

Key findings and trends

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Abstract

This policy paper presents the main findings of the 2025 update of OECD FDI Regulatory Restrictiveness Index (FDIRRI), which benchmarks statutory restrictions on foreign direct investment (FDI) across more than 100 economies. It provides a comparative analysis of these restrictions by country, region, policy area, and economic sector, based on measures in force as of end-December 2025. The paper further reviews recent policy developments, highlighting selected reforms adopted between 2024 and 2025 that have either eased or tightened conditions for foreign investment.

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Executive summary

Foreign direct investment (FDI) restrictiveness remained broadly stable in 2025: more economies liberalised, but larger tightening measures pushed the average slightly upwards for a second consecutive year

Across the 106 economies covered, the average FDI Regulatory Restrictiveness Index (FDIRRI) score increased only marginally, from 0.1192 in 2024 to 0.1194 in 2025, while the median remained unchanged. Higher FDIRRI scores indicate greater statutory restrictions. Ninety-five economies recorded no change. Seven economies recorded a net decline, while four recorded a net increase. More economies liberalised than tightened, but larger tightening measures pushed the average slightly upwards. The average score increase among tightening economies was 0.051, almost twice the average decline of 0.027 points among liberalising economies. Most scored tightening measures in 2025 reflected domestic objectives related to local ownership and participation, public procurement and conditions on foreign participation in selected sectors, including strategic activities, such as mining and offshore wind power. These developments are unfolding amid the renewed prominence of industrial policy and more active use of trade, innovation and national security policies to shape the location and composition of international investment.

FDI restrictiveness remains highly uneven across economies

FDI restrictiveness varies widely across the 106 covered economies. The average score in the most restrictive quartile was more than 22 times that in the least restrictive quartile, while the ten most restrictive economies accounted for over 31% of the aggregate FDIRRI score. Average restrictiveness also differed substantially between OECD and non-OECD economies, at 0.0509 and 0.1576, respectively.

Restrictiveness is highest in MENA, East Asia and the Pacific, and Sub-Saharan Africa

The MENA region recorded the highest regional average (0.246), despite substantial FDI liberalisation in several economies, followed by East Asia and the Pacific (0.201) and Sub-Saharan Africa (0.200). Latin America and the Caribbean and Europe and Central Asia recorded substantially lower average scores, at 0.050 and 0.043, respectively. Restrictiveness was also higher among lower-income economies, where average scores were more than three times higher than in high-income economies.

Foreign equity limits account for most measured FDI restrictiveness

Foreign equity limits remained the largest source of measured FDI restrictiveness, averaging 61% of the FDIRRI score across economies. Other operational restrictions represented 26%, followed by economic screening at 10% and restrictions on key foreign personnel at 3%. Economic screening represented a larger share of measured restrictiveness in the OECD area, although this was driven by a few countries, while other operational restrictions remained relatively more prominent among non-OECD economies.

Restrictions are concentrated in selected primary activities and services

On average, media, real estate, transport, agriculture, fisheries and professional services record the highest levels of policy restrictiveness across the covered economies, with a broadly similar pattern in OECD and non-OECD economies. Restrictions in media and transport are driven mainly by foreign equity limits, with nationality requirements for key personnel representing the most widespread complementary restriction in both sectors, while those in real estate reflect a combination of foreign ownership restrictions, local incorporation requirements and screening. Restrictions in agriculture and fisheries stem mostly from limits on foreign ownership of agricultural land and fishing vessels, respectively, while those in professional services are largely driven by barriers to foreign participation in legal services. By contrast, most manufacturing activities and several business services remain relatively open, although restrictiveness is generally higher in non-OECD economies.

Long-term liberalisation has slowed and fewer economies are reforming

FDI restrictions have declined substantially over recent decades, but the pace of liberalisation has slowed as many broad-based barriers have already been removed. Although significant reforms have occurred in Asia since 1997 and, more recently, in several MENA economies, reform activity has generally become less widespread in recent years, with the share of economies recording a change in their FDIRRI score falling from 21% in 2021-2022 to 14% in 2022-2023, 13% in 2023-2024 and 10% in 2024-2025.

Security implications of investment attract attention beyond the OECD area

Security implications of investment attracted greater attention and prompted policy changes in a growing number of jurisdictions in 2025. Measures addressing these implications do not affect FDIRRI scores. Albania, Croatia, the Kyrgyz Republic and Ireland introduced new cross-sectoral frameworks. Ten other economies revised, clarified or introduced security-related investment measures. These developments highlight the increasing prominence of security considerations beyond the OECD area and the continued evolution of the frameworks used to manage them.

Key policy reflections

- **Continued review of remaining discriminatory restrictions and opportunities for reform**. The slowdown in liberalisation means that substantial statutory restrictions remain, particularly in parts of Asia, MENA and Sub-Saharan Africa. Governments can assess whether these restrictions remain necessary and proportionate to their objectives, and whether these could be achieved through less discriminatory means. More open FDI regimes can support investment and sustainable development,[1] while regional and multilateral initiatives can further support domestic reform efforts.
- **Prioritising reforms where restrictions matter most**. Foreign equity limits continue to account for most measured FDI restrictiveness. Where reform is appropriate, governments could prioritise these and other significant barriers in highly restricted activities. Greater openness, particularly in services that provide important inputs to the wider economy, can support productivity gains.[2]
- **Targeted and proportionate security-related investment measures**. As security concerns and investment screening expand within and beyond the OECD, well-designed measures can help address legitimate risks without unnecessarily discouraging beneficial investment. The *OECD Guidelines for Recipient Country Investment Policies Relating to National Security* (2009[1]) provide principles to help countries preserve open and predictable investment regimes.

1 FDI regulatory landscape in 2025

FDI can support sustainable and inclusive growth by bringing capital, knowledge and technology, strengthening domestic private sector development and creating high-quality jobs, particularly in emerging markets. Under appropriate policy frameworks, it can also contribute to broader objectives, including gender equality, skills development, decarbonisation, innovation and digital transformation (OECD, 2024[2]; 2023[3]; 2026[4]).

An open, transparent, predictable and non-discriminatory investment policy framework can help economies realise these benefits (OECD, 2015[5]). Governments retain the right to regulate in the public interest to achieve legitimate policy objectives. At the same time, measures that discriminate against foreign investors, such as foreign equity limits, discriminatory screening procedures and operational restrictions, can deter investment and reduce potential productivity and efficiency gains. Their effects may extend beyond the sectors directly concerned by limiting potential tax revenues, knowledge transfers, competitive pressures and the efficient allocation of capital (Mistura and Roulet, 2019[6]; Yoon and Ko, 2025[7]; OECD, 2023[8]; World Bank, 2025[9]).

The 2025 FDIRRI results indicate that FDI restrictions remain uneven across economies and regions, but also that FDI regulatory frameworks remained broadly stable in 2025, with only limited changes. This stability is noteworthy in a period marked by heightened policy activism affecting international investment. Since 2020, governments have increasingly pursued resilience, technological leadership, the green and digital transitions and economic security through industrial, trade, innovation and national security policies (OECD, forthcoming[10]). Many of these measures may also shape the location, scale and composition of international investment, but they fall outside the scope of the FDIRRI, which focuses specifically on statutory discrimination against foreign investors. Against this backdrop, the continued stability of FDI regulatory restrictiveness provides some reassurance that, at the aggregate level, economies have not broadly reversed earlier liberalisation efforts, despite their growing use of other policy instruments to pursue wider objectives.

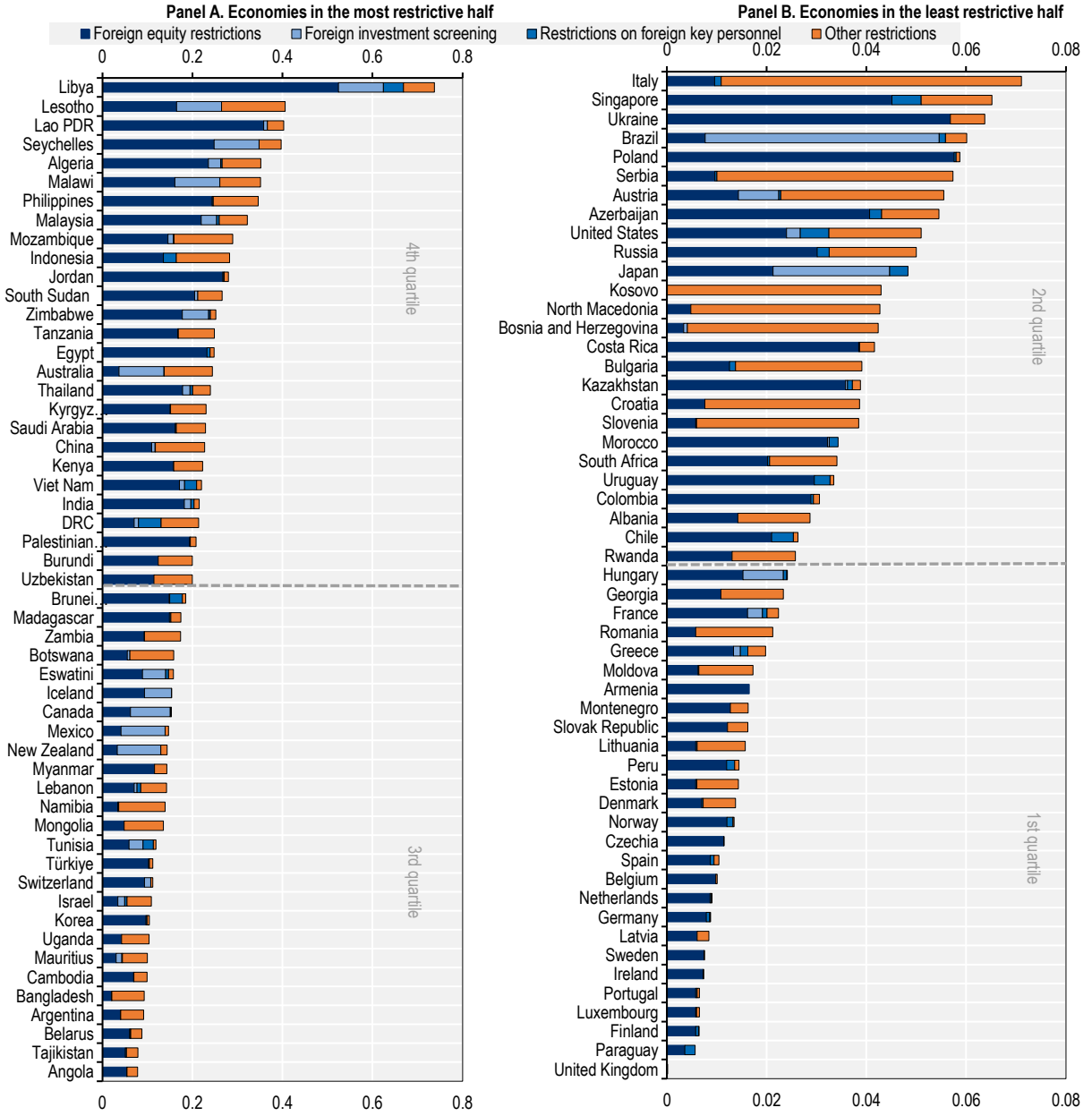
This section describes the current global landscape of FDI restrictions for 106 economies included in the 2025 edition of the OECD *FDI Regulatory Restrictiveness Index (FDIRRI) (*see Annex A for a description of the indicator). It highlights variations in FDI policy restrictiveness across countries, regions, and income groups, identifying the types of regulatory barriers most prevalent in national investment frameworks.

1.1. FDI restrictiveness varies considerably across economies and regions

In 2025, all 106 economies covered by the FDIRRI maintained at least one statutory barrier that discriminated against foreign investors or subjected them to additional conditions compared with domestic investors. The extent of these restrictions nevertheless varies considerably across the sample. As measured by the FDIRRI, average restrictiveness in the most restrictive quartile is more than 22 times that in the least restrictive quartile (Figure 1). Restrictiveness is also highly concentrated, with just ten economies accounting for more than 31% of the combined FDIRRI scores across the sample. Overall, 42% of covered economies are less restrictive than the OECD average, while 70% are less restrictive than the non-OECD average.

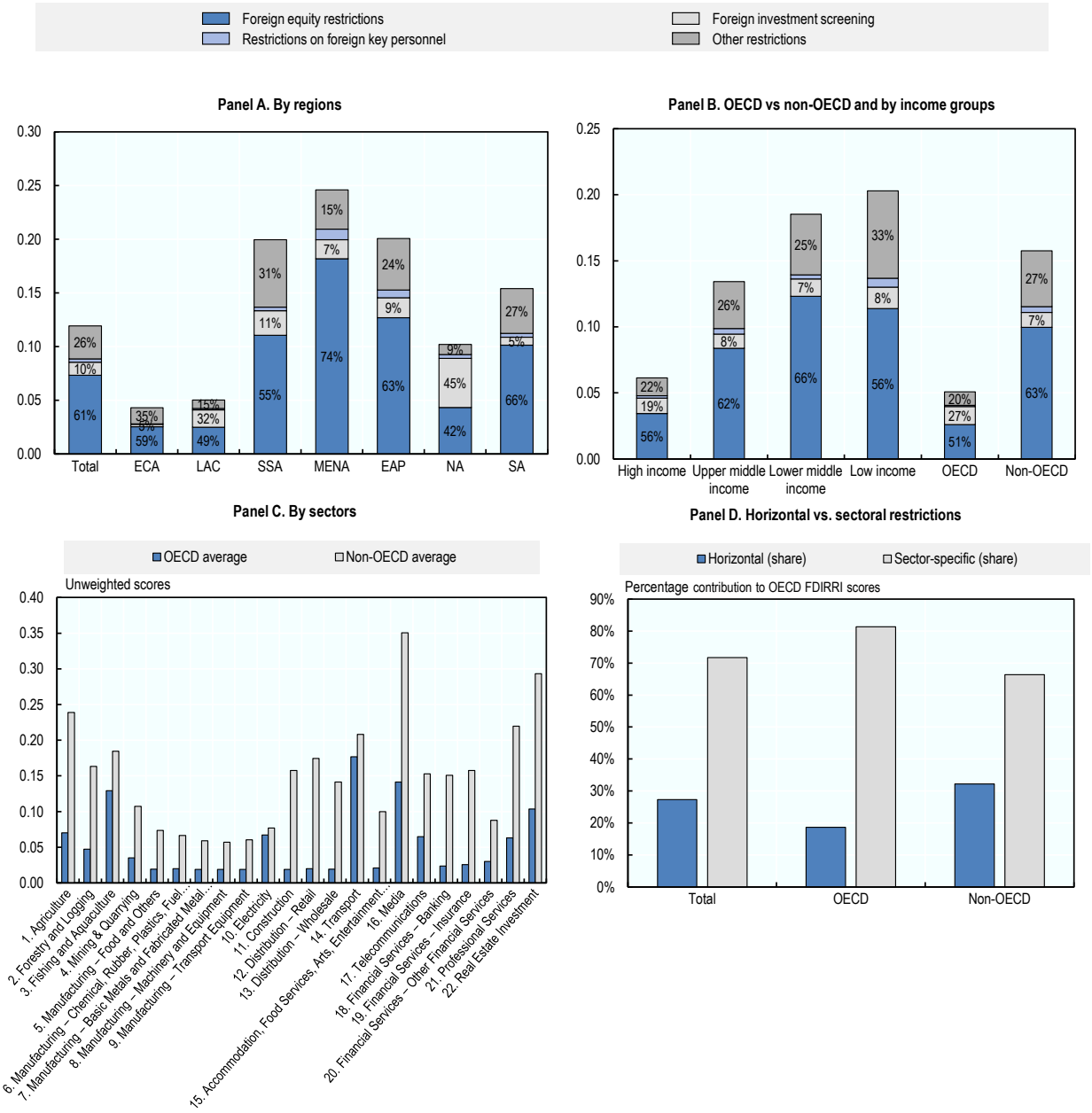
Figure 1. The restrictiveness of FDI regulatory regimes varies widely across countries

OECD FDI Regulatory Restrictiveness Index, 2025 (open=0; closed=1)



Note: The indices reflect regulation in force on 31 December 2025. The 106 economies are ranked from most to least restrictive and split across two panels: Panel A covers the fourth and third quartiles, Panel B the second and first. The horizontal scales differ between panels, with values in Panel B an order of magnitude smaller than in Panel A. For further information on the FDIRRI's methodology, see Annex A.
Source: OECD (2025[11]), OECD FDI Regulatory Restrictiveness Index – Scores (dataset), https://data-explorer.oecd.org/s/5bl.

Figure 2. FDI restrictions by regions and income groups, sectors and by scope of application



Note: All panels: The indices reflect regulation in force on 31 December 2025. Panels A and B: regions and income groups according to the World Bank's classification in the current 2027 fiscal year (FY). Panel C: data refer to unweighted FDIRRI sector scores which do not account for differences in sectors' economic relevance, and therefore represent the sectoral distribution of FDI restrictions simply due to the incidence of a statutory restriction in a given sector and the degree of restrictiveness of the policy measure applied. Weighted scores (Panels A and B) account in addition for the economic importance of the restricted sector (sectoral weights are measured as the sector average share in total value added across countries and time); See Annex A for further methodological information. Panel D: data reflect the average contribution of horizontal and sector-specific restrictions to total restrictiveness.
Source: OECD (2025[11]), OECD FDI Regulatory Restrictiveness Index – Scores (dataset), https://data-explorer.oecd.org/s/5bl.

Regional differences remain pronounced. Europe and Central Asia continued to record the lowest average restrictiveness in 2025, followed by Latin America and the Caribbean (Figure 2, Panel A). North America remained in an intermediate position, partly reflecting the greater prevalence of economic screening and

review mechanisms, which account for almost half of its measured restrictiveness. By contrast, the Middle East and North Africa (MENA) remained the most restrictive region, followed closely by East Asia and the Pacific and Sub-Saharan Africa, largely due to the more widespread use of statutory foreign equity limits.

MENA's high level of restrictiveness persists despite substantial progress in reducing barriers to FDI in several economies in recent years (see Figure 2). A similarly pronounced divide also remains between OECD and non-OECD economies, with the average restrictiveness among non-OECD economies being 3.1 times that of OECD Members (Figure 2, Panel B).

FDI restrictiveness also continues to vary considerably across income groups. Average restrictiveness in low-income and lower-middle-income economies stood at 0.203 and 0.185, respectively, more than three times the high-income average of 0.061, while upper-middle-income economies occupied an intermediate restrictiveness position at 0.134 (Figure 2, Panel B). Foreign equity limits account for close to two-thirds of measured restrictiveness in both upper- and lower-middle-income economies. They also remain the largest contributor to FDI restrictiveness in high-income economies, but they account for a relatively smaller share, with economic screening mechanisms playing a comparatively greater role.

European Union (EU) member states remain considerably more open to FDI than non-EU economies. This difference reflects both the durability of earlier investment-liberalisation reforms and the role of the Single Market in facilitating the free movement of capital. Average restrictiveness among EU member states remained unchanged at 0.0293 in 2025, while the non-EU average changed marginally from 0.1515 to 0.1517.

1.2. Foreign equity limits account for most FDI restrictiveness

In 2025, restrictions on foreign equity ownership remained the largest statutory barrier to FDI, accounting for 61% of measured restrictiveness across the 106 economies covered by the FDIRRI. Other operational restrictions represented 26% of the aggregate score, followed by foreign investment screening based on economic criteria at 10% and restrictions on key foreign personnel at 3%.

The composition of overall restrictiveness changed little from 2024. However, the share attributable to foreign equity limits declined slightly, reflecting liberalisation in a few large economies alongside new or reinforced restrictions in selected activities elsewhere (see Section 2.1). The regulatory composition of OECD economies remained broadly stable, consistent with the substantial investment liberalisation undertaken by many members during the 1970s and 1980s (OECD, 1987[12]; 1987[13]).

1.2.1. Foreign equity limits remain widespread and concentrated in sensitive sectors

Foreign equity limits are the largest contributor of FDI restrictiveness in both OECD and non-OECD economies and across all regions (Figure 2, Panels A and B). While this partly reflects their relatively high weight in the FDIRRI methodology, their prevalence is also notable: all covered economies, except the United Kingdom and Kosovo*, maintained at least one foreign equity restriction in 2025.

Their sectoral distribution remains broadly similar across regions and economic groups. Equity restrictions are typically concentrated in network and other sensitive sectors, particularly transport, distribution, media, telecommunications and electricity. Restrictions on foreign acquisition and ownership of property for real estate investment purposes are also widespread, while nationality requirements in regulated professions, particularly legal services, sometimes indirectly restrict foreign ownership and investment in such services.

Differences across OECD and non-OECD economies tend to lie in the scope and stringency of these restrictions. In OECD economies, foreign equity caps are generally confined to a limited number of sectors, particularly air transport, media and electricity, and often permit foreign ownership up to 49%. In non-OECD economies, they are more likely to extend across a broader range of activities, including construction,

financial services, mining and manufacturing, and to impose tighter ownership limits, in some cases prohibiting foreign ownership altogether.

The contribution of foreign equity limits to overall FDI restrictiveness also differs across regions. It is highest in the MENA region, where they accounted for 74% of measured restrictiveness in 2025 (up from 70% in 2024), followed by South Asia (66%) and East Asia and the Pacific (63%). Their contribution is lower in Europe and Central Asia (59%), Latin America and the Caribbean (49%) and North America (42%).

Given their strong association with lower FDI, foreign equity restrictions merit particular policy scrutiny, including periodic assessment of their costs against their intended public purpose and consideration of less discriminatory alternatives (Mistura and Roulet, 2019[6]; World Bank, 2025[9]; ADB, 2026[14]).

1.2.2. Economic screening differs in prevalence and relative importance across economies

The FDIRRI captures approval and review procedures that discriminate against foreign investors, either because they apply only to foreign-owned projects or because their assessment criteria explicitly favour domestically owned investment. Only those mechanisms that allow authorities to consider economic factors – such as effects on employment, technology or productivity, in a manner comparable to an economic needs or net benefit test – contribute to FDIRRI scores. Screening conducted exclusively to protect public order or essential security interests is recorded for transparency but does not contribute to an economy's restrictiveness score (see Section 2.1.3).

Economic screening remained relatively common in 2025, with 44 of the 106 covered economies maintaining at least one horizontal or sector-specific screening mechanism, one fewer than in 2024. Its prevalence and contribution to measured restrictiveness nevertheless differ considerably between OECD and non-OECD economies.

Thirteen of the 38 OECD Members applied economic screening, usually in a limited number of sectors such as real estate, media and telecommunications, although some mechanisms covered most or all sectors. Despite its relatively low prevalence, economic screening accounted for 27% of average measured restrictiveness in the OECD, reflecting the broad scope of such measures in a few economies and its resulting weight within otherwise comparatively open regulatory frameworks.

Economic screening was more prevalent outside the OECD, with 31 of 66 non-OECD economies maintaining at least one such mechanism. Coverage often extended beyond sectors commonly screened in OECD economies to activities such as distribution, tourism-related services and selected manufacturing industries. Six non-OECD economies applied horizontal economic screening, one fewer than in 2024, although in two cases these measures affected only branches of foreign companies. Despite its broader prevalence, economic screening accounted for only 7% of the average measured restrictiveness in non-OECD economies, where foreign equity limits and other operational restrictions played a much larger role.

1.2.3. Restrictions on key foreign personnel contribute marginally to overall scores

The FDIRRI captures restrictions on the appointment of foreign nationals as senior executives or company board members, as well as nationality requirements for senior seafaring positions in fisheries and water transport.

Although present in many economies, these restrictions tend to have a narrow sectoral scope and therefore contribute little overall restrictiveness. In 2025, they accounted for just 2.6% of measured restrictiveness globally, unchanged from 2024 (Figure 2, Panel A). In OECD economies, where such measures are usually confined to air and maritime transport, media and professional services, they accounted for 1.9% of overall restrictiveness on average. In non-OECD economies, they represented 2.8% of measured

restrictiveness on average, reflecting their more likely application across multiple sectors or as part of nationality requirements governing regulated professions.

1.2.4. Other restrictions remain more prominent outside the OECD, although the gap has narrowed

Beyond foreign equity limits, economic screening and restrictions on key foreign personnel, the FDIRRI captures a range of other discriminatory barriers preventing foreign investors from operating on equal terms with domestic ones, including restrictions on profit and capital repatriation, land and real estate ownership for business purposes, local content and capital requirements, preferences in public procurement, minimum capital requirements and reciprocity conditions.

These measures accounted, on average, for 26.8% of measured restrictiveness in non-OECD economies in 2025, compared with 20.2% in OECD economies (Figure 2, Panels A and B). The gap nevertheless narrowed from 9.2 percentage points (p.p.) in 2024 to 6.6 p.p. in 2025, reflecting a higher contribution in the OECD area and a slight decline in non-OECD economies.

The nature and scope of these restrictions differ between the two groups. In OECD economies, they tend to be sector-specific, while horizontal measures are more common outside the OECD, particularly for public procurement, access to land and real estate, the repatriation of capital, and local content requirements. Procurement preferences and restrictions on profit repatriation are almost absent from OECD economies but remain present in parts of the non-OECD sample, especially in Sub-Saharan Africa (Figure 2, Panel A).[3] Discriminatory local content requirements are similarly concentrated in non-OECD economies, notably in extractive industries and media. Discriminatory minimum capital requirements have become less common, but remain present in 21 non-OECD economies, primarily in Sub-Saharan Africa and East Asia and the Pacific, but in no OECD Member. Reciprocity requirements, by contrast, remain in use in both groups, particularly in professional and financial services.

Restrictions on foreign ownership of land and real estate used for business purposes remain among the most prevalent operational barriers in non-OECD economies.[4] In 2025, 42 non-OECD economies prohibited foreign ownership of such land or real estate, although medium-term leases of 30 to 70 years and long-term leases exceeding 70 years were often permitted. A further 21 economies imposed other discriminatory conditions on foreign access to land or real estate, including prior approval, reciprocity requirements or quantitative limits. These restrictions usually applied horizontally, affecting investment across a wide range of business activities. In OECD economies, prior approval requirements were more common than outright ownership prohibitions.

Local incorporation requirements also remain present in both groups. The FDIRRI records these requirements only in financial services and real estate, where the requirement to establish a locally incorporated entity rather than operate through a branch or invest directly can materially increase entry costs and constrain foreign investors' choice of establishment. In financial services, they may also limit the allocation of capital and risk across corporate groups.

1.3. FDI restrictions are concentrated in selected primary activities and services

FDI restrictions may apply horizontally across the economy or target specific sectors and activities. Horizontal measures most commonly include operational restrictions, such as limits on land ownership and preference rules in public procurement, but may also take the form of economy-wide foreign equity limits or economic screening mechanisms. Given their broad coverage, they can contribute substantially to overall restrictiveness. In 2025, they accounted for 32% of the average measured restrictiveness in non-OECD economies, compared with 19% in OECD economies (Figure 2, Panel D).

The 2025 results confirm the sectoral pattern observed in recent years, with restrictions remaining mostly concentrated in selected primary activities and services (Figure 2, Panel C). Media, real estate, transport, agriculture, fisheries and professional services record the highest levels of policy restrictiveness on average across the covered economies. While the broad sectoral pattern is similar across OECD and non-OECD economies, FDI restrictiveness is generally higher outside the OECD area. By contrast, most manufacturing activities and several business services remain comparatively open.

Media remains the most restricted sector, particularly broadcasting, driven primarily by foreign equity limits and nationality requirements for key personnel. These measures often reflect policy sensitivities associated with national culture and control over information.

Real estate investment also remains highly restricted, largely reflecting prohibitions or limitations on foreign ownership of land and buildings, together with additional conditions such as local incorporation and screening requirements, particularly outside the OECD area.

FDI restrictions in transport are also widespread, with nearly all economies maintaining at least one restriction in the sector. Air transport is particularly affected by foreign equity limits and nationality requirements on key personnel, while maritime transport is subject to similar ownership restrictions and nationality conditions for key seafaring positions.

In agriculture and fisheries, restrictiveness largely reflects strict rules on foreign access to agricultural land and ownership of fishing vessels. Agricultural restrictions frequently prohibit foreign ownership of agricultural land while allowing leasing as an alternative. Although also present in some OECD economies, these measures are generally more stringent outside the OECD area. In fisheries, foreign participation is often constrained by conditions governing the registration and licensing of fishing vessels, including the reservation of commercial fishing activities to domestically owned vessels, as well as nationality requirements for captains and other key seafaring personnel.

Professional services restrictions are concentrated particularly in legal services. In many cases, nationality is required for obtaining a full professional licence and, where ownership of such firms is reserved for licensed practitioners, this indirectly restricts foreign investment and participation in the sector.

By contrast, manufacturing and several business services remain largely open to foreign investment, although exceptions persist in a few non-OECD economies, where activities such as basic metals, food processing and professional services remain subject to foreign equity limits, joint venture requirements or other market-entry conditions. In most cases, however, measured restrictiveness in manufacturing reflects horizontal restrictions rather than measures specifically targeted at industrial activities.

2 Changes in FDI restrictiveness between 2024 and 2025

This section examines changes in statutory FDI restrictions between end-2024 and end-2025 and the reforms that shaped the results. It distinguishes between the direction of reforms across economies and their effect on aggregate FDIRRI scores.

2.1. Larger tightening measures pushed average restrictiveness slightly upwards

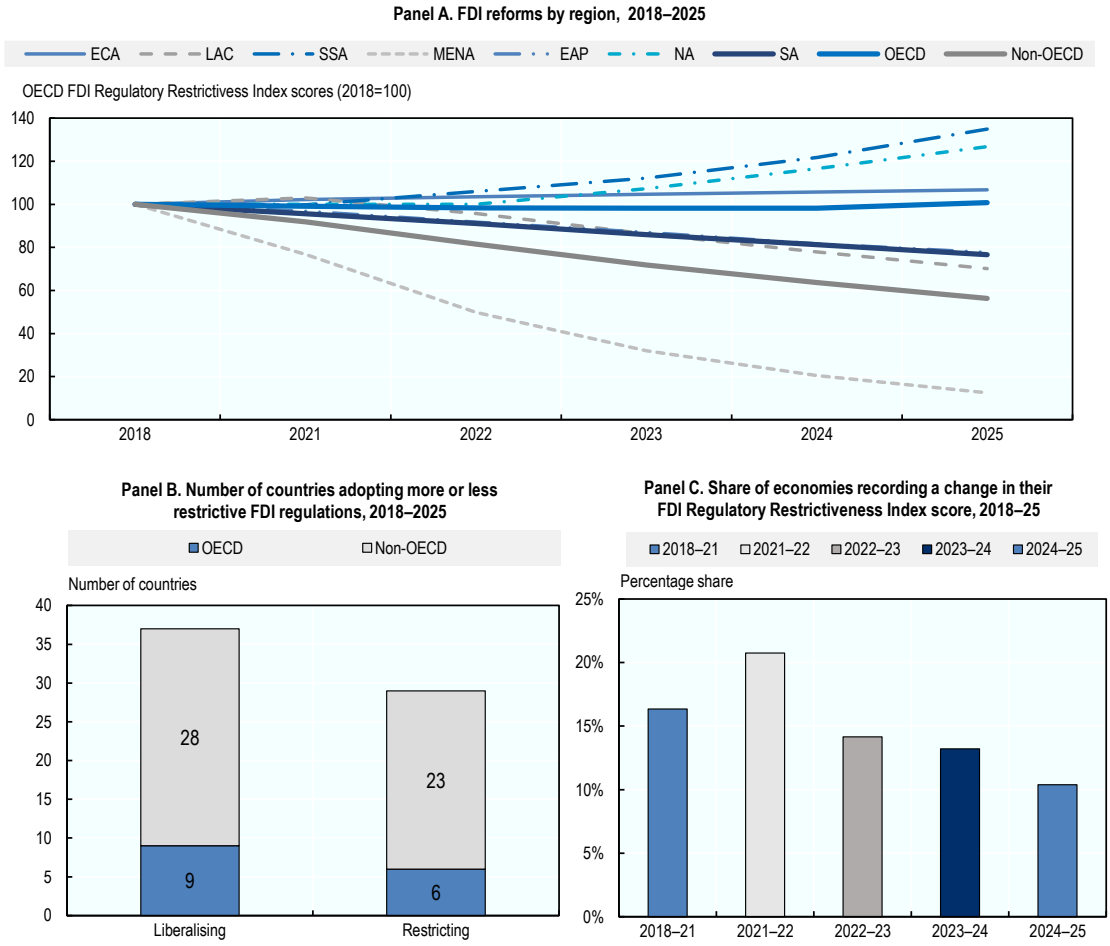
FDI regulatory frameworks remained broadly stable in 2025. The simple average FDIRRI score across the 106 economies covered increased only marginally, from 0.1192 in 2024 to 0.1194 in 2025, while the median remained unchanged. Ninety-five economies recorded no change in their scores. The marginal score increase therefore reflects developments in a small number of economies rather than a broad shift towards more restrictive FDI policies. Nevertheless, it marks a second consecutive year of slightly higher average restrictiveness, against the longer-term trend towards liberalisation observed over previous decades (Box 1) (OECD, 2025[15]).

Among the 11 economies whose scores changed, seven recorded a net decline in restrictiveness (Algeria, Argentina, India, the Philippines, Saudi Arabia, Tanzania, and Viet Nam) and four recorded a net increase (Australia, Botswana, Montenegro, and Zimbabwe). Liberalising reforms were therefore more widespread, but tightening measures were larger: the average score increase among economies that tightened their regimes was 0.051, nearly twice the average decline in score (0.027) observed in those that liberalised. This pattern was similar to 2024, when more economies also liberalised than tightened, but larger tightening measures resulted in a net increase in average restrictiveness (OECD, 2025[15]). The aggregate result is, however, particularly sensitive to individual reforms. Holding Zimbabwe's score at its 2024 level, the average across the full sample would have declined by about 0.0013 rather than increased.

Regional trajectories have differed considerably over 2018-2025, illustrating how changes in the overall average can mask divergent reform paths (Figure 3, Panel A). Across the comparable series, liberalising changes have been more widespread than tightening changes: 37 economies recorded at least one liberalising change between 2018 and 2025, compared with 29 that recorded at least one tightening change, with most reform activity occurring among non-OECD economies (Figure 3, Panel B). At the same time, reforms have become less frequent in recent years, with the share of economies recording any change in their FDIRRI score falling from 21% in 2021-2022 to 14% in 2022-2023, 13% in 2023-2024 and 10% in 2024-2025 (Figure 3, Panel C).

Developments in 2025 also differed between OECD and non-OECD economies. Average restrictiveness in the OECD increased to 0.0509, its highest level in the comparable series and, for the first time, above its 2018 level. This increase, however, does not reflect a broader shift towards more restrictive policies across OECD Members, but is attributable to a new horizontal measure introduced in a single economy. By contrast, average restrictiveness among non-OECD economies declined slightly, reflecting the larger number of liberalising reforms in this group.

Figure 3. FDI restrictiveness and reform activity, 2018-2025



Note: Regional groupings follow the World Bank classification for the 2027 fiscal year. Abbreviations are: ECA = Europe & Central Asia; LAC = Latin America & Caribbean; SSA = Sub-Saharan Africa; MENA = Middle East and North Africa; EAP = East Asia & Pacific; NA = North America; SA = South Asia. Panel C: Percentage of the 106 economies with complete scores over 2018-2025 recording any non-zero change in their FDI Regulatory Restrictiveness Index score relative to the previous year; the denominator is identical across intervals. Changes are net of offsetting measures and are not weighted by magnitude or direction.
Source: OECD (2025[11]), OECD FDI Regulatory Restrictiveness Index – Scores (dataset), https://data-explorer.oecd.org/s/5bl.

Box 1. Long-term trends in FDI policy: From broad liberalisation to a recent slowdown

Over the past decades, FDI policies worldwide have generally become less restrictive, albeit with occasional reversals. OECD countries spearheaded liberalisation efforts during the 1970s and early 1980s (OECD, 1987[13]), while many Latin American countries followed in the 1980s and 1990s (Safarian, 1993[16]; Wint, 1992[17]). These early reforms established relatively open investment regimes in both regions, and with many restrictions already lifted, the pace of reform naturally slowed in subsequent decades.

Since the beginning of the FDIRRI time series in 1997, the most pronounced liberalisation has been observed in emerging Asian economies such as Viet Nam, Korea, the People's Republic of China (hereafter "China"), Malaysia, India and Indonesia, which recorded sharp declines in restrictiveness

scores after removing long-standing, high barriers to FDI. More recently, the MENA region has accelerated reform, with Algeria, Lebanon, Saudi Arabia and Libya easing horizontal restrictions that had previously affected FDI across most sectors (Figure 3, Panel A).

Reforms have been driven both by unilateral decisions to attract investment and by external factors such as economic crises, accession to the OECD or WTO, and commitments under regional trade agreements (Mistura and Thomsen, 2017[18]). Yet, since the late 1990s, the overall pace of liberalisation has slowed considerably, as many of the most restrictive measures have already been lifted. The latest FDIRRI series (2018-2025) confirms this trend, showing only a modest overall decline in restrictiveness across the sample, and, in some cases, reversals, as more economies have adopted stringent FDI regulations than in the previous two decades, when such cases were far less frequent (OECD, 2024[19]).

2.1.1. Several targeted reforms eased foreign ownership and operational restrictions…

Seven economies (Algeria, Argentina, India, the Philippines, Saudi Arabia, Tanzania and Viet Nam) eased at least one statutory restriction on FDI in 2025 (see Annex B). These reforms involved foreign equity limits, nationality requirements for key personnel, economic screening, access to land, capital repatriation and discriminatory minimum capital requirements. Most were narrowly targeted rather than economy-wide and often retained partial conditions or safeguards in sensitive activities.

Several reforms expanded opportunities for foreign ownership or simplified market entry. Algeria raised the maximum foreign participation permitted in coal exploitation from 49% to 80% and opened mineral prospection and exploration directly to foreign investors. Restrictions remain at the exploitation stage, including a minimum 20% participation by the state-owned mining company, and a majority Algerian ownership requirement in quarry exploitation. In Viet Nam, the general 30% foreign ownership limit in commercial banks remains in place, but foreign participation of up to 49% is now permitted in non-State-majority banks undergoing mandatory restructuring. Saudi Arabia replaced its economy-wide discretionary foreign investment licensing requirement with a registration procedure, retaining prior approval only for activities included in a list of excluded or restricted activities.

Other reforms eased nationality and operational requirements. Argentina replaced nationality requirements for the management of domestic air transport companies with a legal domicile requirement. India removed requirements that a majority of directors and key management personnel of foreign-invested insurers be resident Indian citizens, while retaining a nationality condition for at least one of the Chief Executive Officer, Managing Director or chairperson. India also removed prior regulatory approval for dividend repatriation by majority foreign-owned insurance intermediaries.

The Philippines extended the maximum lease period for private land by foreign investors to a single term of up to 99 years. Tanzania removed nationality-based minimum capital thresholds affecting foreign investors' access to statutory guarantees for capital and profit repatriation and access to domestic credit sources. Foreign investors must nevertheless continue to meet higher investment thresholds to qualify for strategic investor status and its associated incentives.

2.1.2. …yet larger tightening measures outweighed their combined effect

New or reinforced restrictions were recorded in Australia, Botswana, Montenegro, Viet Nam and Zimbabwe. While fewer economies recorded an overall increase than an overall decline in restrictiveness, the greater magnitude of tightening measures was sufficient to push the average FDIRRI score across economies slightly upwards.

Australia was the only OECD economy to record a change in its FDIRRI score in 2025, introducing a preference for Australian-owned businesses in below-threshold procurement processes. Non-Australian-

owned suppliers may generally be considered only when no eligible Australian business submits an offer, the offers received do not provide value for money or another documented reason justifies approaching external suppliers.

Botswana introduced a 24% citizen equity participation requirement for new non-industrial mining concessions where the State does not exercise its participation right, therefore limiting foreign ownership in these activities to 76%. Montenegro introduced a local incorporation requirement for fund-management companies from outside the European Union and European Economic Area, while EU and EEA firms may operate through a branch or on a cross-border basis under their home-state licence.

Viet Nam introduced additional conditions for foreign investment in offshore wind power, including higher minimum capital contribution requirements and a minimum 5% state-owned enterprise participation stake requirement. Foreign investment is also now subject to a national-security review involving three ministries. This measure is recorded for transparency only and does not affect Viet Nam's FDIRRI score.

Zimbabwe introduced the broadest set of new restrictions in 2025. The new framework limits foreign ownership in several reserved activities, including retail and wholesale trade, freight transport and grain milling, generally to 25%. It also reserves activities such as pharmaceutical retailing, passenger road transport, bakeries and tobacco grading and packaging to Zimbabwean citizens, subject in some cases to discretionary exemptions. Additional conditions include minimum investment thresholds, divestment requirements and investment screening based on employment, skills and technology transfer.

2.1.3. Security-related investment measures are expanding beyond the OECD area

Attention to the national security implications of certain foreign investments has expanded rapidly over the past decade, leading to intense policymaking activity (Figure 4). Investment screening mechanisms are the policy of choice in most advanced economies. Over 80% of OECD Members now operate an investment screening mechanism to manage national security implications of investment, up from around 55% at the end of 2020 and just over 42% a decade earlier (OECD, 2025[20]). This expansion has been driven by growing security concerns surrounding foreign investment amid shifts in global economic power, rising geopolitical tensions and vulnerabilities exposed by the COVID-19 pandemic and Russia's full-scale invasion of Ukraine, among other crises. These measures are generally intended to address risks to national security or public order, but the scope of national-security screening has widened over time, including to transactions involving critical technologies and other strategic assets (Moran, 2009[21]; Evenett, 2021[22]; OECD, 2024[23]; 2021[24]; 2009[25]).

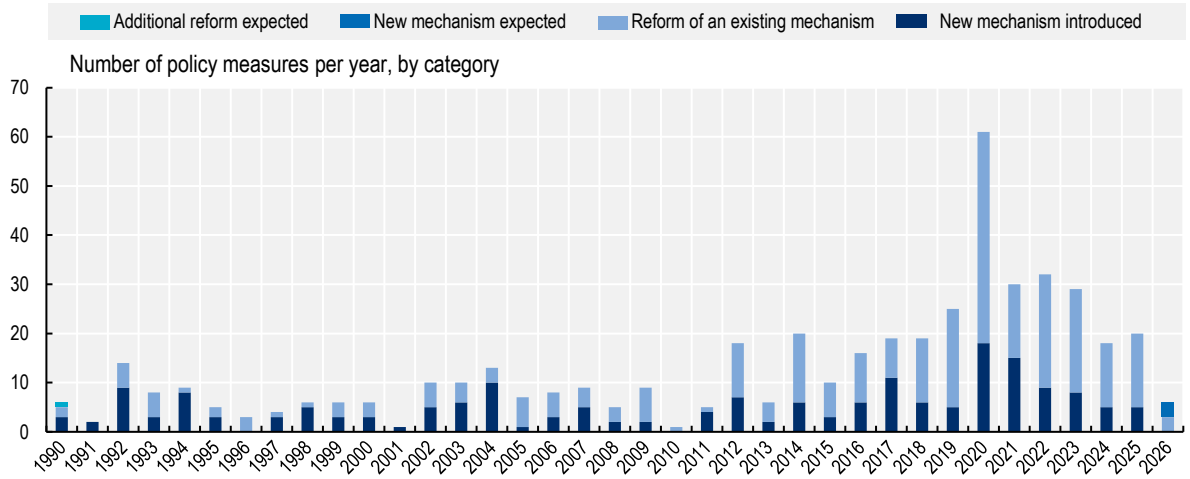
The expansion of security-related investment screening is also increasingly evident beyond the OECD area. While advanced and major emerging economies accounted for much of the reform activity in this area from 2014 onwards, a growing number of emerging and developing economies have introduced such frameworks since 2020. Examples include Moldova, the Philippines, Saudi Arabia and Viet Nam (OECD, 2025[20]).

In 2025, three additional non-OECD economies – Albania, Croatia and the Kyrgyz Republic – introduced new cross-sectoral security screening regimes, while Ireland's new screening mechanism entered into force among OECD Members. Beyond these new frameworks, reform activity continued across a broader range of security-related investment measures. Seven OECD Members – Canada, Finland, Hungary, Japan, Korea, the Slovak Republic and the United States – and three non-OECD economies – Bulgaria, Romania and Viet Nam – revised, clarified or introduced measures in this area.

Security-related screening measures are not considered for the calculation of FDIRRI scores and are only recorded for transparency. The increasing adoption of such measures across economies nevertheless makes their design increasingly important for maintaining open investment regimes. OECD estimates suggest that between 50% and 60% of global FDI now flows into economies applying cross-sectoral security screening, approximately twice the share recorded during the 1990s (OECD, 2021[24]). Poorly

targeted screening frameworks can unintentionally discourage investment that poses no genuine security risk and contribute to the fragmentation of global FDI flows and greater geopolitical divisions (IMF, 2023[26]; UNCTAD, 2024[27]), with these risks particularly salient in fast-moving digital and technology sectors (ADB, 2026[14]). The *OECD Guidelines for Recipient Country Investment Policies relating to National Security* (2009[1]) emphasise transparency, proportionality, accountability, and non-discrimination as key principles for safeguarding legitimate security interests while preserving openness to international investment (OECD, 2009[1]).

Figure 4. Introduction and reform of investment security policies (1990-2026)



Note: Sample includes 98 economies. More than one measure may be counted for a given jurisdiction in a year. Based on information available to the OECD as of May 2026.

Source: OECD (2026[28]),, *OECD Review of Investment Policies in ASEAN: Mobilising Investment for the Green and Digital Transitions*, https://doi.org/10.1787/baf9c7a4-en.

3 Conclusion and policy reflections

Regulatory restrictions are only one element of an economy's investment climate, but evidence shows that less restrictive FDI regimes are associated with higher levels of foreign investment. Monitoring statutory restrictions therefore remains important for identifying opportunities for reform and supporting broader efforts to maximise the contribution of FDI to sustainable development.

The 2025 FDIRRI results suggest that the broad liberalisation trend of previous decades has slowed considerably, without giving way to a generalised reversal. Average restrictiveness across the 106 covered economies increased marginally for a second consecutive year, but most economies (95) recorded no change and more liberalised than tightened. The increase was instead driven by a small number of relatively large tightening measures, prolonging the recent interruption of the longer-term liberalisation trend rather than signalling a broad shift towards more restrictive FDI policies.

Substantial differences in openness nevertheless persist across economies, regions and sectors. Non-OECD economies remain considerably more restrictive on average than OECD Members, with MENA, East Asia and the Pacific, and Sub-Saharan Africa recording the highest regional restrictiveness levels. Foreign equity limits continue to account for most measured restrictiveness, while barriers remain concentrated in selected primary activities and services, particularly media, real estate, transport, agriculture, fisheries and legal services. These patterns point to opportunities for reform, particularly where equity limits and other significant barriers in highly restricted activities continue to constrain foreign participation and policy objectives could be achieved through less restrictive means.

The reforms recorded in 2025 also illustrate an increasingly selective pattern of investment policymaking, with changes predominantly taking the form of targeted adjustments rather than broad-based liberalisation or tightening. Liberalising measures generally addressed specific barriers while often retaining partial conditions or safeguards in sensitive activities. Tightening measures similarly reflected specific domestic policy objectives related to local ownership and participation, public procurement and other conditions in selected activities. While some measures concerned strategically important activities, they do not point to a systematic shift towards restrictions directly associated with current geopolitical or national-security concerns. This relative stability in statutory FDI restrictions should nevertheless be viewed against the broader policy environment in which governments are making increasing use of industrial, trade, innovation and security-related policies to pursue strategic objectives and influence the location and composition of investment.

Security considerations are becoming more prominent within the investment-policy landscape. Security-related investment screening continued to expand within and beyond the OECD area. As such mechanisms spread, maintaining transparent, proportionate and non-discriminatory frameworks is ever more important for safeguarding legitimate security interests without unduly discouraging beneficial investment.

As reforms to discriminatory FDI restrictions become less frequent and such restrictions remain concentrated in selected primary activities and services, regional and multilateral initiatives may provide additional impetus for domestic reform. Such initiatives can support further liberalisation while also promoting broader improvements in transparency, predictability, regulatory coherence and investment facilitation. For example, the WTO Investment Facilitation for Development Agreement, should it enter into

force, and regional frameworks aimed at deepening investment integration can support governments in addressing remaining discriminatory restrictions as part of broader investment-climate reforms.

This may be particularly relevant in regions where restrictiveness remains comparatively high. In Africa, the African Continental Free Trade Area (AfCFTA) and its Protocol on Investment provide a continent-wide framework for deeper investment integration and more predictable investment conditions (UNECA, 2025[29]). More open and predictable frameworks could help broaden the investment base and support more sustained inflows across the continent (AfDB, 2026[30]). In Asia, the ASEAN Comprehensive Investment Agreement and the ASEAN Trade in Services Agreement (ATISA) provide frameworks for progressive liberalisation and greater transparency and predictability of investment barriers (ASEAN and UNCTAD, 2025[31]). Sustained implementation of these frameworks can complement domestic reform and support further liberalisation.

Ultimately, greater regulatory openness is, however, only one condition for attracting investment and maximising its benefits. The wider investment climate and effective implementation of reforms remain critical. Strong institutions, effective public governance, infrastructure, skills and domestic linkages, among other structural factors, remain important for translating foreign investment into productivity gains and sustainable development.

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Annex A. The OECD FDI Regulatory Restrictiveness Index: Methodology and coverage

First developed in 2003 and most recently revised in 2022, the OECD FDI Regulatory Restrictiveness Index (FDIRRI) is a policy-based indicator measuring discriminatory statutory restrictions on foreign direct investment (FDI) across countries and over time. It captures policy barriers across four categories: i) foreign equity limits; ii) screening and approval of foreign investment; iii) restrictions on key foreign personnel; and iv) other restrictions, such as reciprocity requirements, limits on real estate and land ownership by foreigners or preferential treatment for domestic firms in public procurement.

The FDIRRI currently covers 106 jurisdictions across nearly all regions, including all OECD and G20 members as well as adherents to the OECD Declaration on International Investment and Multinational Enterprises. Together, these economies represented 92% of the global inward FDI position in 2025. The revised series provides data for 2018 and 2021-2025. As such, the FDIRRI serves as a global benchmark of statutory barriers to investment, supporting both monitoring of reforms and empirical analysis of the potential impacts of regulatory changes.

Sectoral coverage extends to 22 economic sectors, including agriculture, mining, manufacturing, electricity, construction, distribution, transport, media, telecommunications, financial and professional services, and real estate. Sectoral scores are aggregated into an economy-wide indicator using fixed sector weights derived from OECD Input – Output tables. These weights, applied consistently across countries and years, reflect the economic significance of each sector and ensure comparability over time, while correcting for the over-representation of smaller but highly restricted activities. This approach helps to ensure that any variation in scores between countries is attributed to policy differences.

Each policy measure is scored on a scale from 0 (fully open) to 1 (fully closed), reflecting the degree of restrictiveness. Sectoral scores reflect the sum across all policy categories, capped at 1. Details on the scoring framework are available in OECD (2024[32]).

All regulatory measures underlying the FDIRRI are documented in the FDIRRI – Regulatory Database (OECD, 2025[33]), which provides legislative extracts, explanatory notes and links to original official legal sources. Updates are undertaken annually by the OECD Secretariat, based on (i) policy changes reported through the OECD Freedom of Investment monitoring process; and (ii) systematic review of regulatory developments published in legal gazettes and specialised databases and portals (e.g. OECD Services Trade Restrictiveness Index, World Bank – WTO Services Trade Policy Database, UNCTAD Investment Policy Monitor, Global Trade Alert, as well as legal information platforms and reports from law firms).

The discriminatory nature of a measure – its application specifically to foreign investors – is the central criterion for scoring restrictiveness. Certain non-discriminatory provisions are also included where they are deemed particularly burdensome for foreign investors, such as nationality requirements for boards of directors. By contrast, several other aspects relevant to the investment climate are excluded, such as regulatory transparency, the presence of state monopolies, preferential treatment of selected investors

(e.g. treaty-protected investors or those in special economic zones), and measures taken for the protection of public order or essential security interests.

Data are reported on an annual basis, capturing the regulatory situation as of end-December of each year. As of 2025, the Index draws on over 2 130 database entries, each corresponding to a unique policy – sector restriction enshrined and/or specified in more than 1 800 unique pieces of legislation.[5]

Further information on the updated methodology, the full list of covered measures and scores is available in OECD (2024[32]), as well as in the FDIRRI – Regulatory Database (OECD, 2025[33]) and the FDIRRI – Scores (OECD, 2025[11]). For details on the previous methodological framework, see Kalinova, Palerm and Thomsen (2010[34]).

Annex B. Examples of recent FDI policy reforms recorded in the FDIRRI

Algeria

Until August 2025, foreign ownership in coal exploitation was limited to 49%. Following the entry into force of Law No. 25-12 on 7 August 2025, foreign investors may hold up to 80% of the capital of an Algerian company undertaking coal exploitation, subject to a minimum 20% participation by a state-owned national mining company.

Law No. 25-12 also opened mineral prospection and exploration to foreign natural and legal persons, allowing them to apply directly for prospection authorisations and exploration permits without ownership or equity participation requirements. At the exploitation stage, mining activities must be carried out through an Algerian-incorporated company in which foreign investors may hold up to 80% of the capital, subject to a minimum 20% participation by a state-owned mining company. This mandatory state participation is not scored under the FDIRRI where it applies equally to domestic and foreign private investors. Quarry exploitation remains subject to a minimum 51% Algerian ownership requirement.

Argentina

On 19 May 2025, Decree No. 338/2025 amended the Aeronautical Code and removed the nationality requirements applicable to the management of companies providing domestic air transport services. The president of the board of directors, company managers and at least two-thirds of directors or administrators are no longer required to be Argentine nationals and must instead have their legal domicile in Argentina.

Australia

On 17 November 2025, Australia introduced updated Commonwealth Procurement Rules aimed at giving Australian businesses priority access to government contracts. Under the revised framework, where a procurement is valued at $10 000 or more but falls below the applicable procurement threshold, government entities are required to invite only Australian businesses to submit tenders. A business qualifies as Australian if it is at least 50% Australian-owned, or is mainly traded on an Australian stock exchange, is an Australian tax resident, and has its principal place of business in Australia. For procurements below the relevant thresholds, New Zealand businesses are treated in the same way as Australian businesses, consistent with the Australia – New Zealand Closer Economic Relations Trade Agreement. The rules apply to construction procurements valued from $10 000 up to, but not including, $7.5 million. For other types of public procurement valued from $10 000 up to, but not including, $125 000, procurement agencies must initially seek offers from Australian businesses. Agencies may consider non-Australian suppliers only where no Australian business submits a bid, where the bids received do not offer value for money, or where there is a documented reason for approaching external suppliers.

Botswana

On 1 October 2025, the Mines and Minerals (Amendment) Act No. 14 of 2024 entered into force. The amendment introduces a mandatory 24% citizen equity participation requirement for new mining concessions where the State does not take up its interest. As a result, foreign investors may hold a maximum of 76% equity in non-industrial mining activities.

India

On 30 December 2025, the Indian Insurance Companies (Foreign Investment) Amendment Rules, 2025 entered into force. The amendment removed the requirements that a majority of the directors and a majority of the key management personnel of an Indian insurance company with foreign investment be resident Indian citizens. However, at least one of the company's Chief Executive Officer, Managing Director or Chairperson of the Board must continue to be a resident Indian citizen.

The amendment also removed the requirement for an insurance intermediary with majority foreign shareholding to obtain prior permission from the Insurance Regulatory and Development Authority of India before repatriating dividends.

Montenegro

Under the Law on Alternative Investment Funds (OG MNE 024/25) and the Law on Open-Ended Investment Funds with Public Offering (OG MNE 023/25), both in force since March 2025, the management of alternative and UCITS investment funds may be carried out only by management companies that are legal entities with their registered seat in Montenegro and licensed by the Capital Market Commission. The laws distinguish between management companies seated in Montenegro, those seated in an EU/EEA Member State, and those seated in third countries. Management companies from an EU/EEA Member State may operate in Montenegro through a branch or on a cross-border basis on the strength of their home-State authorisation, whereas management companies from third countries cannot rely on a direct branch on that basis and must either establish a company in Montenegro or obtain a separate authorisation from the Capital Market Commission. For foreign (non-EU/EEA) investors, this amounts to a local incorporation requirement in the fund-management sub-sector.

Philippines

On 3 September 2025, the Philippines enacted Republic Act No. 12 252, amending Republic Act No. 7 652 (Investors' Lease Act), extending the maximum lease period for private land by foreign investors from 50 years (renewable once for 25 years) to a single lease term of up to 99 years.

Saudi Arabia

On 7 February 2025, the 2024 Investment Law entered into force and repealed the previous Foreign Investment Law. The new law replaces the economy-wide foreign investment licensing requirement with a mandatory registration requirement for foreign investors prior to engaging in investment activities. This registration requirement is formally specific to foreign investors but appears to operate largely as a procedural requirement for activities open to investment. Prior approval is now reserved for investments in activities included in the list of excluded or restricted activities, while separate powers apply in relation to national security.

Tanzania

On 30 June 2025, the Investment and Special Economic Zones Act, 2025 entered into force, replacing the Investment Act, 2022. Under the previous framework, access to certain statutory investment guarantees depended on minimum capital thresholds that differed according to the investor's nationality. The new Act removes this distinction. Guarantees covering the transfer of capital, profits and dividends therefore now apply without foreign investors first having to meet a higher minimum investment threshold.

The new Act also removes the nationality-based minimum capital requirements that previously affected access to credit from domestic sources. However, foreign investors must still meet a higher minimum investment threshold than domestic investors to qualify for strategic investor status and the incentives attached to it.

Viet Nam

On 3 March 2025, Viet Nam adopted Decree No. 58/2025/ND-CP establishing conditions for investment in offshore wind power projects. Foreign investors face stricter requirements than their domestic counterparts, including higher minimum capital contribution thresholds and an obligation to include a state-owned enterprise as a project shareholder with at least 5% ownership. Additionally, foreign investors are subject to a national security review process requiring clearance from three ministries prior to investment, a requirement that does not apply to domestic investors.

On 18 March 2025, the Government of Viet Nam issued Decree No. 69/2025/ND-CP, amending several provisions of Decree No. 01/2014/ND-CP. The general 30% foreign ownership cap remains, but foreign investors may hold up to 49% in non – State-majority banks undergoing mandatory restructuring, limited to the duration of the approved restructuring period.

Zimbabwe

On 11 December 2025, the Indigenisation and Economic Empowerment (Foreign Participation in Reserved Sectors) Regulations, 2025 entered into force, introducing new conditions on foreign participation in several reserved activities. In retail and wholesale trade, foreign ownership is generally capped at 25%, with the limits applying to both greenfield investments and acquisitions. Foreign participation in retail trade is also subject to a minimum investment threshold of USD 20 million, while existing foreign-owned businesses must progressively divest to majority Zimbabwean ownership. Pharmaceutical retailing is reserved to Zimbabwean citizens, subject to limited discretionary exemptions for recognised international brands.

The Regulations also introduce new conditions in transport and related services. Passenger road transport, including buses, taxis and car hire, is reserved to Zimbabwean citizens, although recognised international brands may be permitted to operate subject to ministerial approval and screening based on economic empowerment considerations. In freight transport, including haulage, logistics, shipping and forwarding, foreign ownership is generally limited to 25%. Foreign participation is also subject to minimum investment thresholds of USD 10 million for haulage and logistics and USD 1 million for shipping and forwarding, as well as phased divestment requirements. Clearing and customs services are subject to ownership limits and permit requirements, with approval linked to contributions to employment, skills and technology transfer, and sustainable value-chain development.

Further conditions apply in selected manufacturing and processing activities. Foreign ownership in grain milling is capped at 25%, and participation in greenfield investments and acquisitions is permitted only where a minimum investment threshold of USD 25 million is met and the applicable divestment

requirements are observed. Foreign investors in grain milling are also subject to screening based on economic empowerment objectives. Bakeries and tobacco grading and packaging are reserved to Zimbabwean citizens, subject to limited discretionary exemptions under the permit framework.

Notes

[1] Recent developments and trends in global FDI are discussed in the latest OECD *FDI in Figures* (OECD, 2026[45]) and World Bank *Global Economic Prospects* report (World Bank, 2026[46]). For evidence on the contribution of FDI to sustainable development, see the OECD FDI Qualities Initiative and Indicators (OECD, 2022[35]; 2025[41]). For empirical evidence on the relationship between FDI restrictions and FDI, see World Bank (2025[9]), Eichenauer and Wang (2024[43]); Albori et al., (2021[39]); Mistura and Roulet (2019[6]); Kox and Rojas Romasgosa, (2019[40])Fournier (2015[36]); Ghosh, Syntetos and Wang (2012[37]); Golub et al., (2003[38]).

[2] See OECD (2024[42]) and (2026[44]) for evidence on the benefits of services trade and investment liberalisation and recent developments in services trade policy.

[3] Procurement preferences may provide price advantages to nationally owned firms, impose more restrictive qualification criteria, or exclude foreign-owned companies altogether. They are particularly common in lower-income economies, where public procurement can represent a substantial share of domestic demand.

[4] Restrictions based on national security grounds, such as prohibitions on the acquisition of land in border areas, are not considered in the FDIRRI.

[5] The number of recorded entries can be interpreted as a lower-bound proxy for the total number of policy-sector restrictions. Two caveats apply: (i) horizontal measures are recorded once, rather than against each sector to which they apply; and (ii) in some cases, sector-specific measures are captured at the parent sector level when applicable to the entire sector, rather than being duplicated across child sectors.

OECD Business and Finance Policy Papers

OECD FDI Regulatory Restrictiveness Index 2025

Key findings and trends

No. 105

This policy paper presents the main findings of the 2025 update of OECD FDI Regulatory Restrictiveness Index (FDIRRI), which benchmarks statutory restrictions on foreign direct investment (FDI) across more than 100 economies. It provides a comparative analysis of these restrictions by country, region, policy area and economic sector, based on measures in force as of end-December 2025. The paper further reviews recent policy developments, highlighting selected reforms adopted between 2024 and 2025 that have either eased or tightened conditions for foreign investment.